

Speakers



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Rohan Choukhar,
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Srinivas Raghavan,
CTO and Advisor,
Startupxseed

What is your startup about?

Srinivas Raghavan, CTO and Advisor at Startupxseed, says, “Most people present some jazzy graphs, reports or newspaper headlines to show us where the problem is.”

But it is not a problem statement, and definitely not an answer to what your startup does. Problem statements are those that are driven by deep insights based on the conversations you have with customers or from your deep domain knowledge of the problems in a particular sector, and how these can be solved. Simply put, what are you doing that is going to solve the problem?

But articulating the solution is sometimes easier said than done. Here, again, a tip that may come in handy is to not tell them WHAT your product is, but rather HOW that product is bringing about a change.

How are you different from other similar companies? A common mistake that many founders fall prey to while answering this question is they start rambling about every way their startup is superior to other companies.

But the answer to the question is, simply, the USP of your product over your competitors’. Ultimately, the product is the true king of your startup, and that is what should grab the spotlight in any discussion.

What makes you think you’ll succeed? While you can answer this question in various ways, depending on your startup and its uniqueness, make sure to include an important aspect in your pitch—your customer base, for instance. Getting your customer segmentation right is most important. In fact, Raghavan says, it is necessary to not only be specific about who your

target customers are, but also who are not your target customers!

This segmentation is important because otherwise every person might look like a potential customer. A simple way to look at it is at customers who have the same needs and the same willingness to pay.

“Sometimes your challenge is not your competition but compelling the customer to change from the status quo to adopt your particular solution and demonstrate a willingness to pay,” says Raghavan. If you are able to convince your customers, it would not be so hard to convince the investors to see how you are already on the path to success with a loyal customer base right from the get-go.

Can your business actually generate cash? As mentioned before, investors need to know that the business they are investing into is capable of providing them with profits in the long term. For that to happen, founders need to present a truly clear picture of their revenue generation to the investors. Raghavan explains, “Since revenue equals volume x price, if you need to generate revenue, you should be in a position to control both the price as well as the volume.”

But to be able to control that is not easy. First, volume increases with a rise in number of customers, which again draws us back to the importance of specifying your customer base. Some key points to consider while devising a working strategy, as per Raghavan, would be to specify if you are going to reach them directly or through channels.

The next thing to focus is the pricing power. The way you set your prices in the initial stage of your

product’s launch is crucial for your business’ future revenue generation. “For instance, you charge a customer ₹250 per product. Why is it ₹250 and not ₹500? You can strategically offer a discount, but if you lower your pricing at the beginning, there is no way you can subsequently increase the price,” adds Raghavan.

What will the proposed funding be used for? Raghavan says, “Most of the time what investors would like to hear is that the money is going to be used to solve certain operational or scaling problems. Because from a funding standpoint, one can say that by overcoming this problem there is a clear path for higher revenues and higher profitability. There is generally not much of an interest if you use it to add fancy features to your existing solution.”

The outcome of the presentation lies, ultimately, in your convincing power. A boring presentation where you read out from the slides is definitely a no-no. It is your responsibility to get the investors engaged in the conversation, and to do that it is important for you to demonstrate your product’s capability through your words. A great 15-minute speech can have a much greater (and positive) effect on your investor’s final decision than a 20-slide presentation.

The goal, as Venugopal says, is that the investors should be more interested in your startup at the end of your presentation than they were in the beginning.

Finally, building hardware is expensive as well as risky. If you want an investor to fund your startup, you have to be clever about how you position and package your company. A little bit of innovation on your business model is good, and so is adding a software component to make it more appealing. At the end of the day, a hardware company is evaluated as any other company. The elements for what would make a good pitch or a good company that would excite an investor remain the same.

Having a strong belief in why your startup is bound to succeed, despite all odds, is necessary to convince an investor of the same. After all, if you don’t believe in your dreams, why should someone else? **EFY**